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Aristotle on Money

SCOTT MEIKLE

Joseph Schumpeter considered Aristotle's treatment of money in *Politics* I, 8-10 to be 'the basis of the bulk of all analytical work in the field of money'.[1] Schumpeter was among Aristotle's shrewdest economic commentators and in some ways the most critically hostile, yet he regarded the analysis as penetrating and precocious. But it is perhaps more penetrating than he thought and more deeply and interestingly flawed. The analysis is ethical as well as economic, and these two aspects are in a tension which leads Aristotle to attribute two natures to money, that of a means and that of an end. His official position is that it has only one of these natures, that of a means of exchange, and he ignores the other without giving a reason. Modern condescension should not be precipitate, however, because the tension is not one that can be avoided easily from what might be thought of as the high vantage point of modern economic thinking about money, which is just as deeply divided and in just the same way.

I

Aristotle introduces money as a development of exchange, and he sees this as evolving through four forms. The first (i) is barter or the exchange of commodities without money (1257a15-30), which we can represent as C-C. Barter is inconvenient because the acts of sale and purchase are fused into a single act. Money came into existence in the first place, he says, in order to

[1] Schumpeter says that Aristotle's theory of money 'prevailed substantially until the end of the nineteenth century and even beyond', adding that three of the four functions of money traditionally listed in nineteenth century textbooks of economics can be traced back to Aristotle, namely, money as medium of exchange, as measure of value and as store of value. The absence of the fourth, money as standard of deferred payments, can hardly be held against Aristotle, since there were no deferred payments in the ancient world, though Schumpeter does not offer this excuse; J. Schumpeter, *History of Economic Analysis*, (Oxford, 1952), p. 62.

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make this sort of exchange easier (1258b4-5), by allowing the sale (C-M) and the purchase (M-C) to be separated in time and place (EN., V, 1133b10f). This gives (ii) the second form of exchange, natural *chrêmatistikê* (1257a30-41), which may be represented as C-M/M-C, or for short C-M-C. Once people have become accustomed to this, Aristotle says, another form of exchange arises, (iii) unnatural *chrêmatistikê*, in which people can come to market, not with surplus goods they have made or grown which they want to exchange for things they need, but with money. Their aim is to get money by buying goods and selling them for a greater sum (1257b1-40); it can be represented as M-C/C-M, or M-C-M for short. This is justly discredited, he says, because it involves 'people taking things from one another' (1258b1f). (iv) The fourth form is usury (*obolostatikê*), the lending of money at interest, M-M, or 'the breeding of money from money', which he says is the most hated sort and with reason (1258b1-8). Aristotle presents the emergence of these forms of exchange as a single process of development, and so they might appear to be accidentally different ways of doing essentially the same thing.

But interwoven with this is an analysis, which today might be called 'ethical' rather than 'economic', in which he examines the end of each form. He finds that there is no single end which all forms of exchange alike serve, but two quite different ends such that some serve one and some the other. They are, therefore, accidentally similar ways of doing things that are essentially different.

Aristotle defines actions by their ends (*EN.*, III, 1115b22; *Met.*, Θ, 1050a22-4). If two activities aim at different ends they are different however similar they may appear. C-C is acceptable because its end is the bringing together of needs with the use values that will satisfy them (consumption), and he judges this to be natural and necessary by his usual criterion of having 'enough' (1256a1-b26).[2] C-M-C, or natural *chrêmatistikê*, is acceptable too because it shares the same end (it 'is needed for the satisfaction of men's natural wants', 1257a30), and exchange reaches a natural terminus once a need has been met, and so its end 'has a limit' (1257b31). This use of money is 'necessary and laudable' because it is a means subordinate to a natural end, and it is part of *oikonomikê* (1256b27f). It is to be contrasted

[2] The point of *oikonomikê* Aristotle says is *to autarkês eînai* (1256b4), and what he means is best rendered as 'having enough' rather than 'being self-sufficient', because the context is a discussion of avoiding deficiency not avoiding dependence on others. Apart from considerations of context, Aristotle's definition of *autarkês* in the *Ethics* is 'that which on its own makes life worthy of choice and lacking in nothing', (*EN.*, I, 1097b14-15).

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with unnatural *chrêmatistikê* (M-C-M) and *obolostatikê* (M-M) whose end is not need or 'having enough', but the accumulation of money, and this has no natural terminus; 'in this art of wealth-getting there is no limit of the end' (1257b28f). The end is money, and one sum of money differs from another only in magnitude not in quality; like the exchange value it represents, it is a quantity and so it has no limit, and as an end it is irrational for that reason (1257b21-33). This is not a case of *pleonexia*. Aristotle's point is not that those who pursue M-C-M are incontinent in their desires. His point is that, whether they are greedy or not, this is an activity whose *end* is without a limit. So C-M-C and M-C-M are quite different sorts of activity, but because they look alike they are commonly confused: 'the source of the confusion is the near connection between the two kinds of wealth-getting; in either, the instrument is the same, although the use is different, and so they pass into one another; for each is a use of the same property, but with a difference: accumulation is the end in the one case, but there is a further end in the other' (1257b34ff).

The distinction he is insisting on connects with his analysis of wealth. 'True wealth (*ho alêthinos ploutos*) is the stock of things that are useful in the community of the household or the polis' (1256b30f; *ho ploutos ho kata phusin*, 1257b19f). The use is what counts, rather than the form of property: 'Wealth as a whole consists in using things rather than owning them; it is really the activity – that is, the use – of the property that constitutes wealth' (*Rhet.*, 1361a23f).[3] C-M-C aims at getting useful things or 'true wealth', but M-C-M does not, because its aim is wealth as a quantity of money, 'wealth of the spurious kind' (1257b29, Jowett).

Aristotle's distinction between the two kinds of wealth is aligned, in turn, with the distinction between use value and exchange value (1257a6-13), which he was the first to draw and which is the foundation of economic thought. The term 'use value' collects things as the things they are by nature; things that are distinguished by those very qualities which make one C useful for one purpose and another for another. It is these differences between the first C and the second C in C-M-C which he identifies as its point; 'it is not two doctors that associate for exchange, but a doctor and a farmer and in general people who are different (*heterôn*)' (*EN.*, V, 1133a16f). M-C-M is indifferent to the nature of C; since C is used merely as a means to M any C will do. 'True wealth' consists in useful things, or use values, and use value is the end aimed at in C-C and C-M-C. 'Spurious wealth' is exchange value, and that is the end aimed at in M-C-M and

[3] See also *EN.*, VI, 1139b1f: 'Everyone who makes something makes it for some end or purpose. What is made is not itself the final end, only what is done is that'.

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M-M.[4] Use value falls in the category of quality and what it collects are qualitatively differentiated and heterogeneous. Exchange value falls in the category of quantity, it is homogeneous and lacks species, and its instances differ only as magnitudes. So according to the doctrine of the *Categories* there is a metaphysical gap between the two, and this is the foundation of the differences between them as ends of action and as forms of wealth.[5]

A deep ambivalence runs through the entire analysis and it erupts in three connected problems each centring on the nature of money. They pull the basis of his ethical verdicts on the different forms of exchange away from his analysis of their evolution. The basis of his verdicts is the distinction of ends, and if it should fail Aristotle would face a very unpalatable choice between holding that all the forms of exchange are equally acceptable including the 'hated' usury, and holding that all except C-C are equally unacceptable including the 'necessary and laudable' C-M-C. And if the distinction should fail for reasons arising from his analysis of exchange and money, then he would face the choice of holding on to his analysis and facing up to the unpalatable ethical choice that would follow from it, or ditching the entire economic analysis of the three chapters which would leave him with nothing at all.

II

Aristotle complains that the Delphian knife has been made to be exchanged rather than to do a job. It appears to have been a crude tool that could serve as a knife, a file and a hammer, and its advantage was that it was cheap.[6] The smith who makes it is 'niggardly' because he makes a 'knife for many uses' when really 'every instrument is best made when intended for one and not for many uses', (1252b1-5). Because it is made to be cheap (cheaper than the three tools separately) it is made to be exchanged, so the construction of this 'tool' is not part of the proper process of tool making where a thing is made to do a job. Hence it is not even really a tool, *a fortiori* not really a knife, and *a fortissimo* not a good knife. Its use value has been diminished by design in a compromise with exchange value. It has been

[4] Aristotle's position, sketched here, is dealt with in greater detail in my article 'Aristotle and Exchange Value', in David Keyt and Fred D. Miller Jr (eds.), *A Companion to Aristotle's Politics*, (Blackwell, Oxford, 1991); reprinted in Mark Blaug (ed.), *Aristotle (384-322 BC)*, (Aldershot, and Brookfield, Vermont, 1991).

[5] On quantity see *Cat.*, 6a26-36, and on quality *Cat.*, 11a16-19.

[6] See F. Susemihl and D.R. Hicks, *The Politics of Aristotle*, (London 1894, New York 1976), pp. 141-2.

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deliberately constructed to perform more functions that it can perform well in order to sell at a cheap price.

It is difficult to be sure just how this is to be understood. It might amount to no more than a complaint about one particular kind of product and those who make it, and if that is all it is we should not read too much into it. But it might be an example of an implied general criticism of the deleterious effects that exchange can have on the quality of the things produced when they are made in order to be exchanged for money. If that is Aristotle's point then the implications are more serious. This would be a criticism of the effects of money on production.

The danger of anachronism is obvious. We are excessively familiar today with the commercially inspired adulteration of use values: foods lacking nutrition or being poisonous, planned obsolescence in consumer durables, unnecessary surgical operations done because they pay, education being made into training, and so forth, and care must be taken not to project this sort of thing back without evidence. But things of a similar nature were not unknown in the ancient world. Lots of shoddy goods were made, coin debased, and products adulterated. The Delphian knife finds a parallel in the product of 'the coppersmith who for cheapness makes a spit and a lampholder in one' (*De Part. An.*, IV, 683a22ff).[7] Aristotle himself is concerned about the effects of exchange value or money relations on the practice of the professional arts: they are practised in perverted ways in order to make money out of them, for people not themselves engaged in *kapêlikê* but who wish to pursue money 'do so by some other means, employing each of the faculties in an unnatural way . . . [and] make all these faculties means for the business of providing wealth [*chrêmatistikas*, that is, in the context, money-getting], in the belief that wealth [sc. 'of the spurious kind'] is the end and that everything must be directed to the end' (1258a8-14). He instances the military and medical arts, but he clearly intends the point to apply much more widely. Even philosophy can be used in this way, and this is just what the Sophists do, for the Sophist 'is one who makes money from an apparent but unreal wisdom' (*S. El.*, 165a23), and sophistry itself 'is, as we said, a kind of money making' (171b28) rather than a kind of philosophy. Using an art like medicine as a way of conducting another art, money-getting, introduces a confusion of ends from which the pursuit of health can only suffer. Aristotle must take a serious view of this, because such confusion would undermine the rational ordering of ends set out at the beginning

[7] See W.L. Newman's long note, *The Politics of Aristotle*, (4 vols., Oxford, 1887-1902), vol. 2, pp. 109-110. See also Ross's note on the strange implement made by the coppersmith in the Oxford translation of the *De Part. An.*, 683a22n1.

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of the *Ethics* which he thinks is essential for the proper working of the polis and the pursuit of the good life (*EN.*, I, 1094a1-94b11).

It is true that ancient society was not a market economy, and that fact must always be held firmly in mind in considering matters of this kind. The product of labour did not universally take the form of a commodity or exchange value since a sizeable proportion of production was undertaken for direct consumption rather than for exchange. The culture was inhospitable to the values of commerce, and they were not admired or publicly applauded, nor was public policy constructed with them at its heart. But even making due allowance for these great differences, and for avoiding modernist exaggeration and false assimilations of ancient practices to modern ones, there was still quite enough of that kind of behaviour to make it a realistic possibility that Aristotle might have intended the example of the Delphian knife to illustrate an implied general criticism.

The conditions prevailing in fourth century Athens do not make such a criticism impossible or unlikely. But even so Aristotle might still not have intended it. He does not explicitly draw the implication himself, and the best we can do is to decide how likely or unlikely it is that he had it in mind. There are two questions to be asked. Is there better reason to think that he intended the implication than that he didn't? And whether he intended it or not, is it a thought he could easily have had, and should have had if he didn't?

As to the first question, there is little explicit indication that he wants to extend the criticism beyond the smith to the makers of things generally. He is not short of opportunities, and the single criticism of the coppersmith in *De Partibus Animalium* is not enough to suggest that he was anxious to pursue them. Against this it can be said that given all that he has to say about the dangers of money-seeking behaviour, which after all is his theme in *Pol.*, I, 8-10, it is not very likely that he simply meant to criticise the makers of one or two particular items rather than a tendency that they illustrate.

As to the second question, if Aristotle did not think of the idea we are entitled to ask why. It would have been an obvious application of his views of true and false wealth, of wealth as use, of his criticisms of the end aimed at in M-C-M behaviour, and of the abuse of the arts for making money. Given all that, it would be astonishing if the idea had not crossed his mind. It is an obvious extension of criticisms he already advances, and given the character of his theory it is certainly one that he should have added. It is easier to believe that he suppressed it for some reason than that it never occurred to him.

The defects of the Delphian knife are not due to faults of the smith, his

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skills, 'niggardliness', or his materials, but to a social cause that operates systematically where there is money, namely, that goods tend to be produced in order to be exchanged against money. Aristotle's reason for saying that the use made of a shoe in exchange is not its 'proper or peculiar use' is that 'the shoe has not been made for the purpose of being exchanged' (1257a6ff). But where there is money, this is all too likely to be the purpose for which a thing has been made. The Delphian knife illustrates the kind of failure this typically leads to, and it is difficult to see that Aristotle could be making any other point. His allusion to the 'niggardliness' of the smith (*penikhrôs*, or the 'spirit of stint' as Newman puts it) should not draw attention away from the systematic nature of the cause of the failure. The smith is to be compared with the Sophist who sells 'philosophy' for money, or the doctor who sells 'medical services'. It seems that C-M-C is not as innocent as Aristotle says. Its end is not to be so simply characterised as 'providing use value' or 'meeting need'. The fuller story will have to incorporate the possibility of the use value of products being systematically compromised by the fact that they are also made to be exchange values. But telling this fuller story would undercut the ground on which Aristotle passes C-M-C and the function of money that goes with it as ethically acceptable.

The ground was the distinction of ends he drew between C-M-C and M-C-M, and the Delphian knife example shows that this cannot be drawn in the simple way he draws it, as one between the ends of use value and exchange value. The end of M-C-M remains the accumulation of wealth as money, but it is no longer so easy to exclude that from the definition of the end of C-M-C. If the shorthand expression C-M-C is written in full as C-M/M-C, then in the act of sale C-M, we see the smith exchanging a 'knife' with the failings Aristotle complains of, and it has those failings just because the smith's aim is to maximise M. If the smith's aim is M, not simply C as Aristotle says, then the order of the smith's acts of sale and purchase should be reversed to give M-C/C-M. The activity he is pursuing is at least partly M-C-M and not simply C-M-C. Over time his activity has the form . . . C-M-C-M-C-M-C-M-C . . ., and now it can no longer be divided neatly into a sequence of repetitions of C-M-C as: . . . C-M-C/C-M-C/C-M-C . . . There is as much reason now to divide it up as . . . C-M/M-C-M/M-C-M/M-C-M/M-C . . . Unless we are to say that he only makes money not knives, as the Sophist makes money not philosophy, it no longer seems clear how we are to distinguish making money and making knives.

Aristotle's decision to permit C-M-C and forbid M-C-M now looks shaky because the distinction of ends has become blurred. Money-getting is a distinct art because it has a distinct end, and he says himself that when a professional art like medicine is pursued for the sake of money, the ends of

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the two arts of medicine and money-getting 'pass into one another; for each is a use of the same thing', and this compromises the pursuit of health (1257b34ff). But Aristotle never explicitly admits that the same applies to the artisan arts too. His ethical verdicts seem more reasonable if it is supposed, as it usually is, that the activity of the trader (*kapêlos*) is the only case of M-C-M that he sets out to criticise, and that the presence of money leaves the ends of all other activities unaffected. But this supposition is clearly wrong, and so it must be asked how far along the line of activities he thinks the presence of money exerts its influence in making the end of the activity at best ambiguous between the pursuit of C and the pursuit of M. There is no reason to think the maker of knives is any different in this respect from the maker of anything else, or that artisans are any better than professionals like the doctor, so there is no reason to think that any sort of activity should remain immune if it involves money. It is difficult to imagine that in the one field of the artisan arts, Aristotle simply forgot about the confusion of ends which arises when an art is pursued for the sake of money. He shows the smith misusing knife-making in exactly the same way that the Sophist misuses philosophy and the doctor misuses medicine. It is puzzling that Aristotle does not explicitly connect the smith into this line of criticism. The Delphian knife is such an obvious example of the same kind of shortcoming that his failure to relate it explicitly to his criticism of the effects of money as the spurious form of wealth seems to need some more convincing explanation than that he simply went to sleep at that point. It is tempting to suppose that he had a reason for deliberately excluding such considerations in this case.

If he had been determined to approve of the use of money in C-M-C, but to disbar its use in M-C-M, it would have been necessary to keep a clear line of demarcation between them. He had strong reasons for wanting to allow C-M-C and the function of money as a means of exchange. Without them, money would have no legitimate function at all, and in holding this he would have become more unrealistic and a more extreme Laconizer than even Plato, who never went so far (*Laws*, 742a-c) in spite of the fact that money was prohibited in Sparta. This would have been an uncomfortable position for Aristotle to have to occupy. His inclination was to accommodate to entrenched practices which there was little chance of changing, even if this entailed some cost to more basic positions he held. His defence of slavery, so at variance with his view that the best *politeia* is one where 'anyone at all (*hostisoun*) might do best and lead a flourishing life' (*Pol.*, VIII, 1324a23-5), shows that he was capable of bending over backwards to do this, and Athens was hardly the place in which to expect unrealistic proposals about the use of money to be best received. To have pressed

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further than he did with the implications of the Delphian knife case would have forced him to choose between, on the one hand, dropping his objections to M-C-M and M-M, together with the entire analysis of use value, exchange value, wealth and exchange from which those objections follow, and on the other hand, denying the legitimacy of money in any of its functions. The course he chooses manages to accommodate two common sentiments: the usefulness of money for getting things, and the dislike of traders and money-lenders.

III

Aristotle insists that 'money was invented to be used in exchange' (1258b4-5), and mainly on the strength of this he has usually been understood to hold that money is in its nature an instrument or means for the circulation of use values. But his theory equally supports attributing to money the entirely different nature of an end, and obvious as this is, he ignores it and gives no reason for choosing the first view.

Roll rightly observes that according to Aristotle's own account of the development of exchange 'The natural purpose of exchange, the more abundant satisfaction of wants, is lost sight of; the accumulation of money becomes an end in itself.'[8] According to Aristotle, money becomes the universal form of wealth, because 'everything can be expressed (*tetimêsthai*) in money' (*EN.*, V, 1133b14-5), and many activities, perhaps most, come to be done for the sake of it as well as for the sake of their own intrinsic ends, or instead of them. What was introduced to be a means to human ends becomes an end itself, and the human ends it was meant to serve become means to it. We might have expected Aristotle to conclude that what money finally becomes is its *telos* and nature. But he insists that it is what it was originally intended to be, a means, and that its development into an end is a perversion.

Aristotle often gives origins this kind of importance. They are a good guide in identifying the natures of things; 'he who considers things in their first growth and origin, whether a state or anything else, will obtain the clearest view of them', (*Pol.*, I, 1252a24). But it is just as typically Aristotelian to find out what something really is by looking for its mature form: 'what each thing is when fully developed we call its nature, whether we are speaking of a man, a horse or a family' (*Pol.*, I, 1252b32f). This method would lead to the conclusion that it is in the nature of money to become an end. So Aristotle's theory contains what is needed to deduce, by familiar

[8] Sir Erich Roll, *A History of Economic Thought*, (London, 1938 [1961]) p. 35.

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Aristotelian devices in each case, two different accounts of the nature of money. But a thing cannot ultimately be both a means and an end.

For each of the other major economic concepts, wealth and exchange (*chrêmatistikê*), Aristotle gives two definitions, a use value definition and an exchange value definition, as his theory requires because of the difference of category between use value and exchange value. So perhaps he might have concluded that money has two natures, or that there are two sorts of money. A distinction between use value money and exchange value money might seem to fit, because the end of the good use of money in C-M-C is use value, and the end of its bad use in M-C-M is exchange value. But this would have been nonsense, because money *is* exchange value. Its job is to express the exchange value of each commodity independently of that commodity's own physical body. The use value of a thing is undetachable from its physical body, but its exchange value can be represented in the physical body of the money commodity, and Aristotle knew this.[9] If gold is the money commodity then it has two use values: firstly as the substance of wedding rings, and secondly as the substance useful as a means of exchange. Aristotle knew this too.[10] So he knew that the notion of 'use value money' is incoherent, and that a distinction between use value money and exchange value money is incoherent too. Money is exchange value from the outset, and it has this character in C-M-C just as much as in M-C-M and M-M. Each of these forms depends on the exchange value of C being represented independently of the physical body of C. But if money has only the nature of exchange value, then it cannot have the use value nature he wants for C-M-C.

Moreover, each form of exchange realises a potential in the nature of money as the representative of exchange value. They constitute a single process of development arising originally from C-C, and each transition from one form to the next is part of the evolution of exchange, and results

[9] The exchange value of cabbages disappears with the decay of the cabbages and of their use value, but if they are sold their exchange value lives on in the sum of money they realised. Aristotle says that the usefulness of money lies in the fact that 'it serves as a guarantee of exchange for the future: supposing we need nothing at the moment, it ensures that exchange shall be possible when a need arises, for it meets the requirement of something we can produce in payment so as to obtain the thing we need', *EN.*, V, 1133b10ff.

[10] He says that 'men agreed to employ in their dealings with each other something intrinsically useful and easily applicable to the purposes of life, for example, iron, silver and the like' (*Pol.*, I, 1257a35ff); 'In the satisfaction of wants money became the medium of exchange by agreement. And for that reason it bears the name *nomisma*, because it owes its existence, not to nature, but to law (*nomôi*), and it is in our power to change it and make it void', (*EN.*, V, 1133a28-31).

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from people pursuing the possibilities in the relations and institutions they have created. Aristotle tends to think of change as a process of generation and maturation in something, and it is natural that he should present the development of exchange in the way he does. But it is strange that in the course of such a process an entity should change its nature and become something else altogether, and this seems to be what is supposed to happen between C-M-C and M-C-M, when money ceases to be a means and becomes an end. The idea is incoherent, because a process of development is necessarily undergone by some kind of unitary nature, and without such a unity there cannot be such a process. The identification of a unity is usually a matter of identifying an end or *telos*.[11] But in his account of the development of exchange, he identifies not one end but two, so it is hard to see what the requisite unity can consist in, and without that there cannot really be a single process of development at all. Aristotle subsequently implies that this is a single process only from C-C to C-M-C, and a perversion thereafter, but this is another way of putting what has so far seemed unconvincing in his account.

Aristotle's ambiguity about the nature of money and its end is registered by Ross in a little-known symposium with Cannan, Bonar and Wicksteed. On the one hand, Ross says of Aristotle's view of interest that 'I don't think he means that it is by an unnatural convention that money breeds money. He appears to regard it as the normal course of things that it should'. This is surely right if we have in mind Aristotle's account of the development of exchange and money. What happens in 'the normal course of things' is the result of the operations of some nature, and the appearance of interest in the course of that development is as much a part of the process as any other. It might even be said that M-M realises a potentiality in the nature of money. On the other hand, Ross also observes that 'money produces interest, but that this is not what it was invented to do – it was invented to be used in exchange. The yielding of interest is an unintended by-product. And since Aristotle identifies the nature of a thing with the end it is intended to fulfil, it is a legitimate gloss to say that interest-bearing is according to Aristotle no part of the nature of money'.[12] The conclusion is, though Ross does not draw it, that the bearing of interest is part of the nature of money and that it is not.

[11] See the discussion of wholes and ends in Stephen R.L. Clark, *Aristotle's Man*, (Oxford, 1975), ch. II.3.

[12] Ross's contribution to E. Cannan's symposium 'Who said "Barren Metal"?', *Economica* No. 5 (June 1922), p. 107.

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IV

Aristotle takes sides in the current debate about whether it is a good or bad thing for a city to be located by the sea, and in opposition to Plato he decides that on the balance of advantage it is a good thing. But he makes a distinction. It is good for a city to engage in *emporikê*, because 'it is necessary that they should import from abroad what is not to be found in their own country, and that they should export what they have in excess'. But it is not good to engage in entrepôt trade. 'Those who make themselves a market for the world only do so for the sake of revenue, and if a state ought not to desire profit of this kind it ought not to have such an emporium', (*Pol.*, VII, 1327a25-31). He recognises a danger that unless commerce is restrained, a port may develop willy-nilly into an entrepôt emporium, and he is prepared to envisage legislation to regulate the behaviour of buyers and sellers in the port: 'any disadvantage which may threaten can easily be met by laws defining the persons who may, or may not, have dealings with one another'.

It seems odd that in book I Aristotle never so much as raises the question of legislation to regulate M-C-M behaviour in the city itself. This may be simply a matter of proportion. Such behaviour was confined to a retail trade that was very restricted compared with what we are familiar with today, and the commercial values it represented did not penetrate deeply into the social relationships of the polis in spite of Plato's bitter complaints in the *Laws*.[13] But the big extension of commerce that would follow permitting entrepôt trade would have been a more serious affair. Perhaps Aristotle was going for a compromise. It seems consistent with most of what he says and does not say that he should be prepared to put up with a certain amount of behaviour of this kind by individuals, while being against any big extension of it.

It would be easier to believe in this compromise if Aristotle had believed that M-C-M behaviour arose from individual shortcomings rather than from the systemic effect of money, but this is doubtful. He regards such behaviour as systemic because he believes it arises from the development of money, and what is wrong with it lies in the unlimited nature of the end of M-C-M, 'wealth of the spurious kind', rather than in the *pleonexia* of individuals. The common idea that wealth is unlimited does not arise from human wickedness, but from the existence of M-C-M which is 'commonly

[13] Plato criticises the moral qualities of those engaged in commerce and the effects their activities have on relationships in the polis: commerce 'fills the land with wholesaling and retailing, breeds shifty and deceitful habits in a man's soul and makes the citizens distrustful and hostile', *Laws*, 705a.

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and rightly called the art of making money, and has in fact suggested the notion that wealth and property have no limit' (1256b40ff). The perversion of the arts is not primarily owing to individual failings but to the need for money (1258a8-14); 'the life of money-making is one undertaken under compulsion' (*EN.*, I, 1096a5). Aristotle does not regard money as a technical device which we pervert by turning it to wicked ends; he argues that there is an end built into M-C-M to which people adapt themselves and their behaviour.[14] The problem is whether Aristotle's belief in the systemic character of the threat posed to the community by money is consistent with the view, implicit in the putative compromise, that money-seeking behaviour can be contained without laws.

The moral ethos of Greek life was unfavourable to the values of commerce. Nearly all lending was *eranos* lending, and Aristotle himself tells us that a temple of the Graces was put up in a prominent place in the city to remind citizens that grace required that 'we should serve in return one who has shown grace to us, and should another time take the initiative in showing it' (*EN.*, V, 1133a3ff, Irwin).[15] *Chrêmatistikê* existed, so it was a known danger, and in spite of its systemic origin, Aristotle would have been justified in thinking that it could be contained by ethical precept, or by public intervention to prevent any excessive growth of it as in the case of entrepôt trade. He did not have a crystal ball in which to foresee the full-blooded assertion of the capacity of money to erode *koinônia* and the values in *êthikê* and *politikê* which he knew and expounded, and no serious hint of its potency showed at any time in antiquity.

V

Aristotle is in two minds about money. His official view of its nature is that of a means, but this is a stipulation rather than a conclusion, because he does not argue for it. The view that money is an end is just as integral to his analysis, and his attempt to exclude it as a perversion is inconsistent with his account of the development of exchange where both views of money are

[14] Throughout the discussion in *Politics* book I Aristotle shows little interest in individual behaviour except in so far as it is affected by the presence of money, as we might expect since the work is concerned with *politikê* rather than *êthikê*. The social arrangements of money are not of the individual's making, and as individuals they have no choice but to accommodate to them if they are to live; hence 'the life of money-making is one undertaken under compulsion' (*EN.*, I, 1096a5). Aristotle is concerned with the nature of those arrangements before he is concerned with individual behaviour.

[15] See Paul Millett's study, *Lending and Borrowing in Ancient Athens*, (Cambridge, 1991).

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integrated. It is not his analysis of exchange which pushes him towards the stipulation; the impetus from there would be towards the view that it is in the nature of money to become an end. The impetus comes from elsewhere. His decision to identify its nature by origins rather than by its *telos* is crucial in securing the stipulation, and since he does not argue for that either, the decision looks arbitrary until it is noticed how well its consequence suits the ethical and political requirements of his wider position: money cannot be abolished so there had better be an acceptable use of it, but it causes harm so there had better be an unacceptable use of it.

Aristotle's analysis throws up a host of considerations with bearings on two still contentious and unresolved questions: the nature of money and the relation between ethics and economics. His difficulty about the nature of money is not an elementary one which can be resolved easily with the resources of modern economic thought, because the same duality is present there too. It is the chief bone of contention between the friends and foes of market economy.

Adam Smith holds, as Aristotle does, that use value or 'consumption is the sole end and purpose of all production'.[16] Smith recognises that money becomes the end for those engaged in business, that their operations are of the M-C-M character, and he thinks they need to be publicly regulated for that reason (unlike some of his twentieth century *soi-disant* disciples). But he thinks that the totality of those operations produces an outcome for the society that is C-M-C in character, and he resolves the tension between money as a means and as an end in that way. The pursuit of exchange value, in spite of appearances, really serves the end of use value.

In Marx's view, market economy is a lawlike system of exchange value, and it can be interfered with to make it serve human ends better only to a limited degree. Use value is not the end but a means, and money or exchange value is not a means but the end. The system inhibits wealth and potential wealth serving human ends, because its end is something quite different, the quantitative expansion of exchange value, M-C-M. Wealth cannot be both use value at the service of the natural ends of human living, and at the same time take the form of exchange value and serve the end of expanding exchange value. These are alternatives between which we must choose. They may be made to intersect to a limited extent, but they cannot be made to intersect enough for human flourishing.[17]

[16] *The Wealth of Nations*, ed. Edwin Cannan, (London 1904), vol. ii, p. 159.

[17] Marx's strategic dispositions in laying out the relation between economics and life are obviously very close to Aristotle's, and the reason for this is that Marx got them from Aristotle. He parades the debt and cites many passages from Aristotle to support distinctions he wants to make, some of them crucial, in his discussion of the nature of

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Keynes's project was to increase the extent of the intersection. He also takes the view that money becomes an end, though he regards this as due mainly to ethical perversion in the use people make of money, rather than, as Marx thought, to something in the nature of money which produces ethical perversion in the behaviour of people. The money motive, Keynes says, is a 'disgusting morbidity, one of those semi-criminal, semi-pathological propensities which one hands over with a shudder to the specialists in mental disease'. But it is a perversion we shall be able to overcome once we have enough, or in economic parlance, when there has been sufficient accumulation, and he thinks that time will come in the lifetimes of the grandchildren of his own generation.[18] He writes:

> The distinction between a cooperative economy and an entrepreneur economy bears some relation to a pregnant observation made by Karl Marx, – though the subsequent use to which he put this observation was highly illogical. He pointed out that the nature of production in the actual world is not, as economists seem to suppose, a case of C-M-C′, i.e. of exchanging commodity (or effort) for money in order to obtain another commodity (or effort). That may be the standpoint of the private consumer. But it is not the attitude of business, which is a case of M-C-M′, i.e. of parting with money for commodity (or effort) in order to obtain more money.[19]

In Keynes's view it is possible both to continue with money and M-C-M, and to bring the money motive under moral control, thus transforming money from an end into a means.

VI

The tension between ethics and economics, visible in Aristotle, is also reproduced in modern economic thought.

The pseudo-Aristotelian *Oeconomica*, as Finley has argued, deals simply with use values.[20] It strikes a modern reader as quite un-'economic', because it lacks any discussion of investment, labour costs, profit maximisa-

money in *A Contribution to the Critique of Political Economy*, (London, 1971), pp. 27, 42, 50, 68, 117, 137. The debt is equally manifest in volume one of *Capital* where Marx gives what is the first interpretation, since the rise of political economy as an independent science, of Aristotle's discussion of the commensurability and value of commodities in *EN.*, V, 5.

[18] J. M. Keynes, *Essays in Persuasion*, (London, 1931), p. 369.

[19] *The Collected Writings of J. M. Keynes*, (London, 1973), vol. 29, p. 81.

[20] See M.I. Finley's review of Aristotle, *Économique*, ed. B.A. van Groningen and A. Wartelle, *CR* xx (1970), pp. 315-19. Finley mounts strong attacks on what he rightly sees as wholly false injections of 'economic overtones' into the work; a theme he developed much further in *The Ancient Economy*, (2 edn., London, 1985).

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tion, turnover, etc.; it even lacks the notions of these things. The Greeks and Romans had no system of double-entry bookkeeping. The evidence, legal, literary and documentary, for Greek and Roman accounting shows that they lacked even the ideas of debit and credit. What we might mistake for accounts are no more than inventories of use values and checks on embezzlement.[21] Serious concern with exchange value and awareness of its categories are entirely absent. Laistner's collection of Greek 'economics' makes only a slim volume, and all its extracts have the character of the *Oeconomica*.[22] This is not surprising since the ancient world was not based on market economy. It was, as Finley has argued, a world primarily of use value in which markets played only a peripheral role, and if economics is the science of exchange value, it is not surprising that the Greeks did not invent it.[23]

Since Aristotle's time, or rather in the last few hundred years, exchange value has grown from being an end which individuals may pursue, into an end which whole societies are organised to pursue. It has become the regulator of those societies through the system of markets, and, in the form of 'the economy', it has come to be the preeminent source of reasons for decision-making in the public realm. These changes had profound effects on ethics, on the very conception of what ethics is, of its place in human affairs, and on conceptions of human good and even of human identity. Their accompaniment was the rise of economics to the position of an independent science.

If economics is to be seen as the science of exchange value, its magnitudes and movements, its interaction with use value, and of the requirements of its pursuit as the primary end, then the place of use value in it is that of a means rather than an end. The growth of economic thinking and of the values implicit in it, to be found in authors like Petty, were fiercely resisted and parodied throughout by moralists like Swift, and what emerged was a discrete science which contested much of the ground previously occupied by *êthikê* and *politikê* in public decision-making.

The tricky relationship between ethics and the new science was dealt with in a number of different ways. Keynes had an ethical theory independ-

[21] See G.E.M. de Ste. Croix, 'Greek and Roman Accounting', in A. C. Littleton and B. S. Yamey (eds,), *Studies in the History of Accounting*, (London, 1956), 14-74.

[22] M.L.W. Laistner, *Greek Economics* (London, 1923). The tradition of Xenophon's *Oeconomica* continued down to Francis Hutcheson, the teacher of Adam Smith; see Finley, *The Ancient Economy*, pp. 17ff.

[23] See S.T. Lowry's determined attempt to prove that they did, in *The Archaeology of Economic Ideas*, (Durham, 1987); see also my review 'Et in Arcadia Chicago', *Polis*, 8, No. 1 (1989), pp. 25-34.

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ent of economics.[24] But this set him apart from the mainstream of economic writing into which an ethical theory, utilitarianism, was integrated. It fitted neatly because it had been designed for this supporting and subordinate role in the first place. The origin of utilitarianism in Bentham was associated with the ambition of providing political economy with a system of ethics, or something that looked like ethics, which could be fully integrated into political economy. This was desirable because actual morality stood outside of economics and was constantly making difficulties for it, and setting down conditions which economics might have difficulty meeting, or not be able to meet at all. Testimony to this origin is seen in the fact, argued by Bernard Williams, that utilitarianism can do so little of what a real morality is supposed to do.[25]

Utilitarianism, unsurprisingly, fits the requirements of economics well. There is only one end, pleasure or utility, and all actions are means to it; they are therefore to be judged only on their efficacy in promoting that end, so that only the consequences of actions are significant, not the actions themselves. Utilitarianism provides economics with a simulacrum of ethics in which it is not difficult to arrange a close association between utility maximisation and the maximisation of exchange value. Utilitarians might deny that they are committed to the view that the common currency of happiness is money. But, as Bernard Williams says, 'they are committed to something which in practice has those implications: that there are no ultimately incommensurable values'. Williams adds that it is not an accidental feature of the utilitarian outlook that the presumption is in favour of the monetarily quantifiable, and that other values are forced into an apologetic dilemma: 'It is not an accident, because (for one thing) utilitarianism is the value system for a society in which economic values are supreme; and also, at the theoretical level, because quantification in money is the only obvious form of what utilitarianism insists upon, the commensurability of value.'[26]

A second reaction to these changes is the view that economics and ethics have little or nothing to do with one another, which Lionel Robbins defended in *The Nature and Significance of Economic Science*: 'Between the generalisations of positive and normative studies', he wrote, 'there is a logical gulf fixed which no ingenuity can disguise and no juxtaposition in space or time bridge over'. He concluded that regarding economics and

[24] See Athol Fitzgibbons, *Keynes's Vision: A New Political Economy*, (Clarendon, Oxford, 1988), especially chapter 3.
[25] See C.B. Macpherson, essays 9 and 10 in his *Democratic Theory*, (Oxford, 1973). On how little utilitarianism does of what an ethics is supposed to do, see Bernard Williams, *Morality*, (Cambridge, 1972), pp. 96-112.
[26] Williams, *ibid.*, p. 103.

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ethics 'it does not seem logically possible to associate the two studies in any form but mere juxtaposition . . . the two fields of enquiry are not on the same plane of discourse'.[27] Few economists accepted his conclusions when they were published in 1935, but today most do.

Some economists are concerned that economics should have developed in the way that it has, proceeding on unrealistic assumptions about human nature and motivation, and apparently uncomprehending of the intrinsic points of non-economic activities and the values they embody. Amartya Sen finds 'something quite extraordinary in the fact that economics has in fact evolved in this way' – a way which he describes as 'the self-consciously "non-ethical" character of modern economics'.[28] Adam Smith was after all, he points out, a Professor of Moral Philosophy, and economics was for a long time seen as something like a branch of ethics.

Looked at from an Aristotelian perspective, however, the divorce between ethics and economics seems inevitable rather than extraordinary. The activities they study aim at different ends, use value and exchange value, whose compatibility is limited. Neo-classical economics draws a conceptual connection between use value and exchange value through the notion of utility, so that the two appear inseparable and the question of whether money is a means or an end cannot be clearly formulated, and for this reason neo-classical economists would deny that economics is the science of exchange value only or primarily.[29] On Aristotelian metaphysics, however, no such conceptual connection is possible because use value and exchange value fall into the different categories of quality and quantity. Pursuing them as ends requires different courses of action in each case. So the Aristotelian view must be that economics is the science of exchange value only or primarily, not of both equally. Ethics and economics are competitors over the same ground, and one can prosper only at the expense of the

[27] L. Robbins, *The Nature and Significance of Economic Science* (London, 1932), p. 132. Robbins derived this conclusion, not because he held economics to be the science of the pursuit of exchange value as an end, rather than of use value and human good as an end, but because he held it to be 'neutral as between ends' (p. 131) because he identified it as the science of means-end rationality in general. In one of the most quoted phrases is recent economic writing Robbins says that 'Economics is the science which studies human behaviour as a relationship between ends and scarce means which have alternative uses', p. 15.

[28] Amartya Sen, *On Ethics and Economics*, (Blackwell, Oxford, 1987), pp. 1-2.

[29] Mill, though not neo-classical, defines wealth as 'all useful or agreeable things, which possess exchangeable value', *Principles of Political Economy*, (New York, 1969), p. 9. Alfred Marshall deals entirely with exchange value, dismissing use value out of hand, *Principles of Economics*, (London, 1898), p. 8.

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other. From an Aristotelian point of view it can hardly seem surprising that ethics and economics should have come apart, or that once they had, they should have proved so hard to reconcile. What should seem surprising is that they should ever have been thought to be connected.

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